banking profession. It was largely on his insistence that the scheme for recruiting Indians directly as probationary assistants was introduced in 1921. This recruitment continued for a decade after which it was suspended (in 1931) on grounds of austerity ostensibly necessitated by the Depression. This however did not affect the recruitment of Europeans which continued as before. The message was clear: Indians were not welcome.[35]

In 1943, J.R.D. Tata, who was a member of the Bombay Local Board from 1938 to 1946 and a Director of the Central Board in 1946, in a letter to the Managing Director launched a scathing attack on the failure to Indianize the bank. He said that the complete exclusion of Indians from all high positions in the bank could only be justified on the assumption that they were either incompetent or untrustworthy. He said that as an Indian he could not accept either of the two assumptions. J.R.D. Tata resigned from the Central Board in 1946. It was only in 1950 that S.K. Handoo became the first Indian Deputy Managing Director. Three years later he became the Managing Director.[36]

The criticisms about Indianization apart, the Committee of Direction of the Rural Credit Survey saw the proposed State Bank of India, the successor to the Imperial Bank as integral to its integrated system of rural credit. Thus, the plan to nationalize the Imperial Bank became part of a wider effort to spread banking facilities in rural areas and direct the funds of the banking system into neglected sectors of the economy such as agriculture. Not all, however, saw it in this light. J.R.D. Tata was one of the many critics of the decision to nationalize the Imperial Bank. Looking upon it with ‘unrelieved dismay’ in a note enclosed to a letter to the RBI Governor, Rama Rau, he wrote that the decision to nationalize ‘a great national asset’ despite earlier declarations to the contrary could not but ‘create nervousness and serious misgivings regarding the future of free Enterprise’ in the country.[37]